



Define

What is Mindset,
Entrepreneurship,
Entrepreneur, and

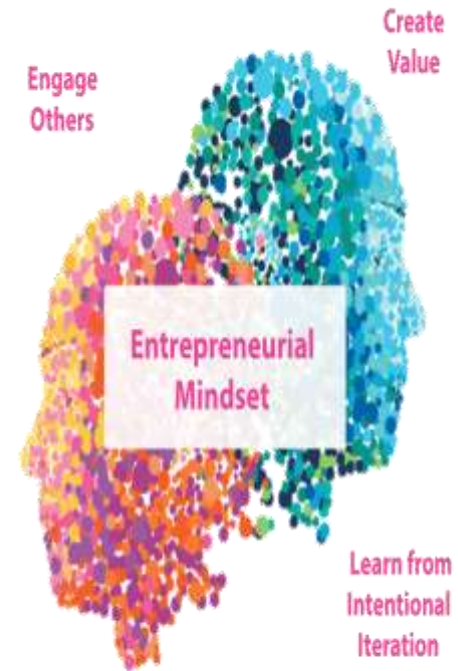
Entrepreneurial Mindset





Unit Learning Outcomes

- a. Define what is Mindset, entrepreneurship, entrepreneurs and entrepreneurial mindset.
- b. Analyze the entrepreneurial process





Metalanguage

1. **VALUE** - It is the customers' evaluation of the merits of a product or service and its ability to meet their needs and expectations, especially in comparison with its peers
2. **EFFECTUATION** -This means affordable loss rather than expected returns; strategic alliances rather than competitive analysis, exploitation of contingencies rather than exploitation of pre-existing knowledge and, as previously stated, controlling an unpredictable future rather than predicting an uncertain one.”

WHAT IS MINDSET



Definition	Source
"mental attitude or inclination."	Merriam-Webster
"Your mindset is the sum of your knowledge, including beliefs and thoughts about the world and yourself in it. It is your filter for information you get in and put out. So it determines how you receive and react to information."	Thum, Myrko. 2012. The right mindset: Change your mindset in 6 Steps. Retrieved from: http://www.myrkothum.com/mindset/ .
"a mindset can be fixed or growth-oriented."	Dweck, C.S. 2006. Mindset: The new psychology of success. New York: Ballantine Books.
"a mindset is a habit that requires practice"	Gupta, A.K., and V. Govindrarajam. 2002. Cultivating a global mindset. Academy of Management Executive 16 (1): 116–126.

TWO TYPES OF MINDSET



1. Fixed mindset.

- This is when one perceives his talent and abilities as a set of traits.
- This person is upholding the idea that his brains and talents alone are sufficient.
- When thrown with constructive criticism, this person takes in personally.
- When they see others succeed, they believe it was because of luck or other unreasonable advantage.
- Usually, this type of person will acknowledge that he is not good in something in order to avoid challenge or failure.

TWO TYPES OF MINDSET



2. Growth mindset.

- This is when one perceives his talent and abilities as a set that can be improved.
- This person upholds that when there is constant dedication, sufficient effort and correct process, there will always be a chance to improve.
- This person engages himself in meaningful learning activities and practice.
- When struck with failure, this person sees this event as an opportunity for growth.

"Failure is an
opportunity to grow"

GROWTH MINDSET

"I can learn to do anything I want"

"Challenges help me to grow"

"My effort and attitude
determine my abilities"

"Feedback is constructive"

"I am inspired by the success of others"

"I like to try
new things"

"Failure is the
limit of my abilities"

FIXED MINDSET

"I'm either good at it or I'm not"

"My abilities are unchanging"

"I don't like
to be challenged"

"I can either do it,
or I can't"

"My potential is predetermined"

"When I'm frustrated,
I give up"

"Feedback and criticism
are personal"

"I stick to what I know"

What defines Entrepreneur(ship)?

Definition	Emphasis	Origin
The entrepreneur shifts economic resources out of an area of lower and into an area of higher productivity and greater yield	Creates value	Jean Baptiste Say (1800s)
The function of entrepreneurs is to reform or revolutionize the pattern of production ... by exploiting an invention or, more generally, an untried technological possibility for producing a new commodity or producing an old one in a new way, by opening up a new source of supply of materials or a new outlet for products, by reorganizing an industry and so on	Change agent/creative destruction	Joseph Schumpeter (1942)
The pursuit of opportunity without regard to resources currently controlled	Resourcefulness and uncertainty	Howard Stevenson (1983)
The entrepreneur always searches for change, responds to it, and exploits it as an opportunity	Opportunity	Drucker (1985a, b)
The discovery, evaluation, and exploitation of opportunities	Entrepreneurship as a process	Shane and Venkataraman (2000)
Entrepreneurial thinking differs from managerial or strategic thinking	Effectuation	Saras Sarasvathy (2005)

These innovative activities could be in the form of the following according to Schumpeter (1942).

1. New goods
2. New methods of production
3. New markets
4. New sources of inputs
5. New types of organizing

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1. New goods

Example:

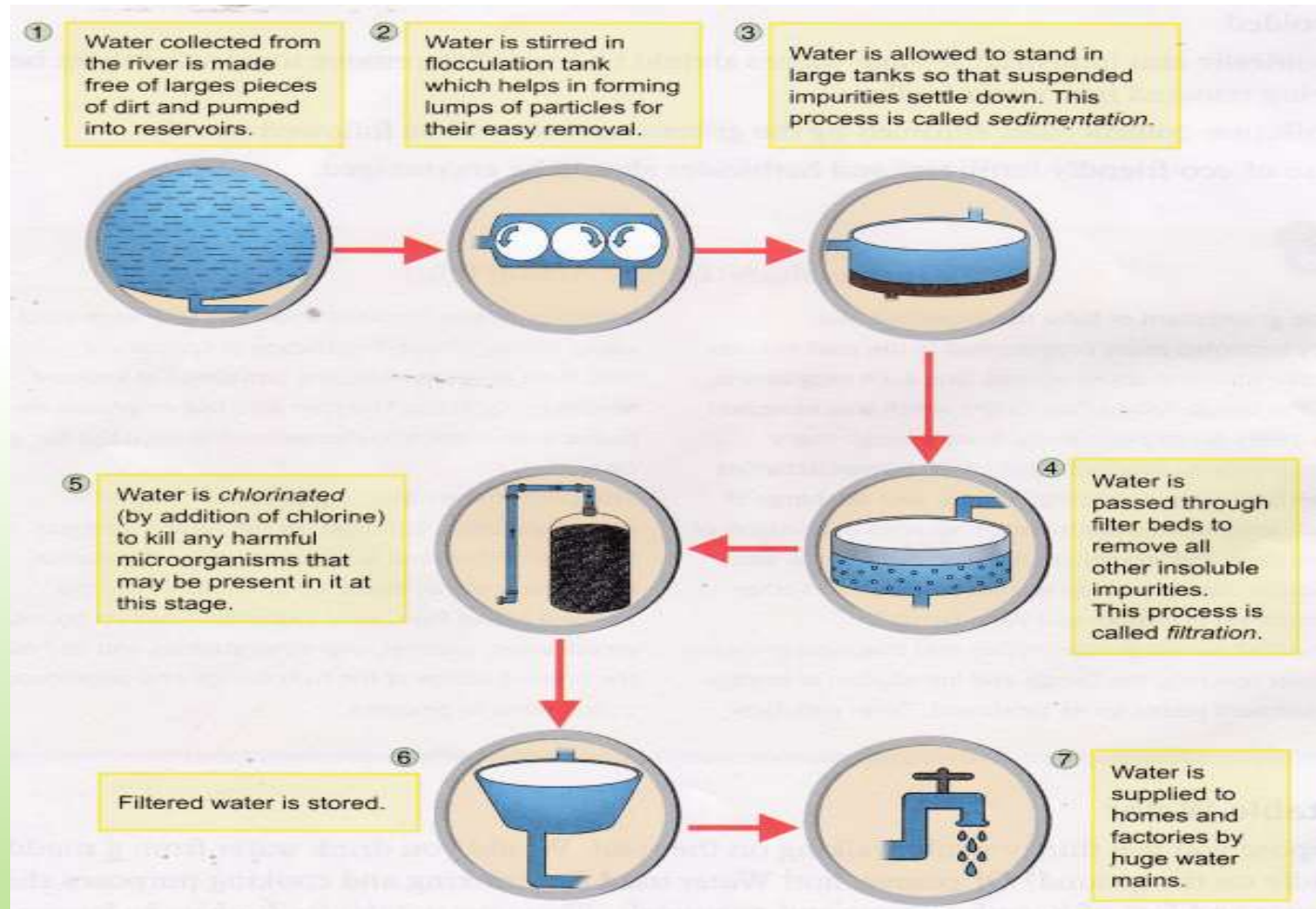


Being responsible for the unintentional slaughter of literally dozens of plants belonging to myself and others, I really do understand the usefulness of the Pet Plant design from Junyi Heo. The face on the front of the pot changes if you forget to water it, or if the temperature changes drastically.

These innovative activities could be in the form of the following according to Schumpeter (1942).

2. New methods of production

Example:



These innovative activities could be in the form of the following according to Schumpeter (1942).

3. New markets

Example:



These innovative activities could be in the form of the following according to Schumpeter (1942).

4. New sources of inputs

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5. New types of organizing

Example:



TYPES OF INNOVATION ACCORDING TO BROOKS (2013)

1. Disruptive innovation. This means new products or service that initially started at the bottom of the marketplace but eventually moved up and removed the competitor. An example to this are **mobile** phones. When it started as a replacement for home phones, it wasn't a hit due to poor designs. As the developments continued, it eventually took over the market.



TYPES OF INNOVATION ACCORDING TO BROOKS (2013)

2. Reverse. This innovation happens when a product was first introduced in developed countries and later introduced in developing markets. An example to this is when Nestle developed dried noodles for Asians but it became so popular for the rest of the world.

CLASSIC EXAMPLES OF REVERSE INNOVATION.

- Tata Nano, a low budget car introduced in India, costing \$2,000 is all set to launch its new version in the European markets.
- The car will be modified according to the taste and preference of the users in Europe and will be sold at a higher price, thus backing the 'Leapfrog Strategy'.



TYPES OF INNOVATION ACCORDING TO BROOKS (2013)

3. Incremental. Incremental innovation happens when small improvements on the products or service are done but not totally changing the entire product or service. This kind of innovation is usually used in mobile phones, laptops and automobiles.



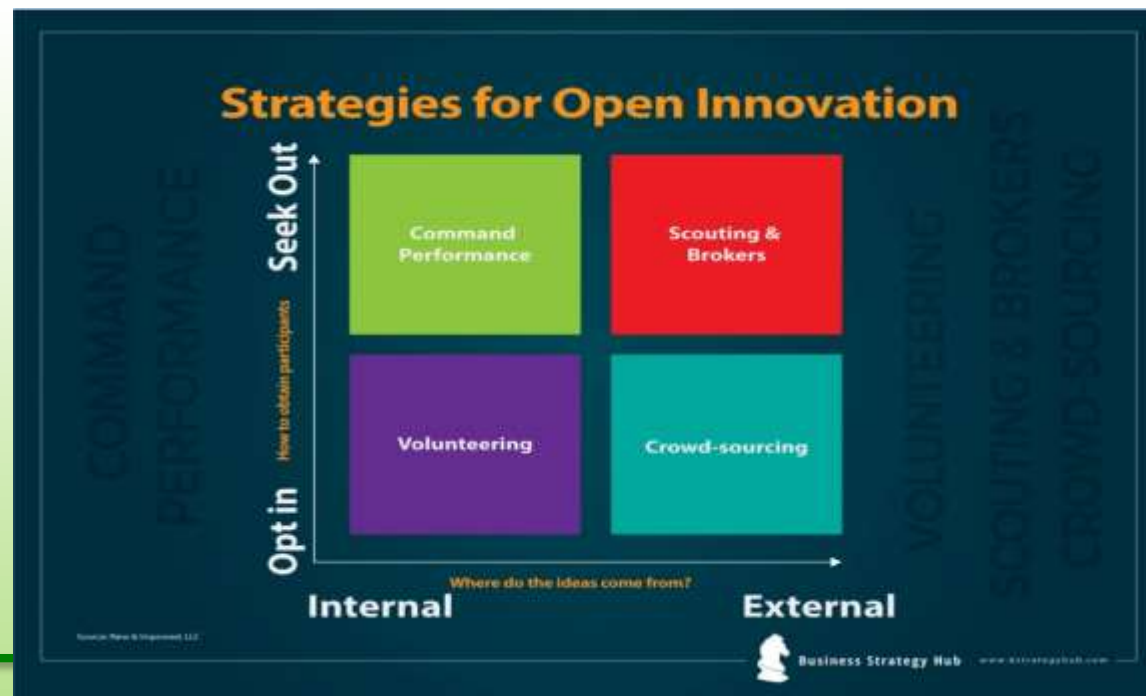
TYPES OF INNOVATION ACCORDING TO BROOKS (2013)

4. Breakthrough. This innovation happens when a new product or service that has never existed appears in the market. Companies with excellent research and development teams usually deliver this kind of innovation. An example to this is the internet.



TYPES OF INNOVATION ACCORDING TO BROOKS (2013)

5. Open. This innovation occurs when a company taps the internal and external ideas to improve their current operations. This collaboration in innovation usually happens in automobile production. External ideas could come from customers or technology oriented firms that could help in improving the production process.



THE ENTREPRENEURIAL MINDSET

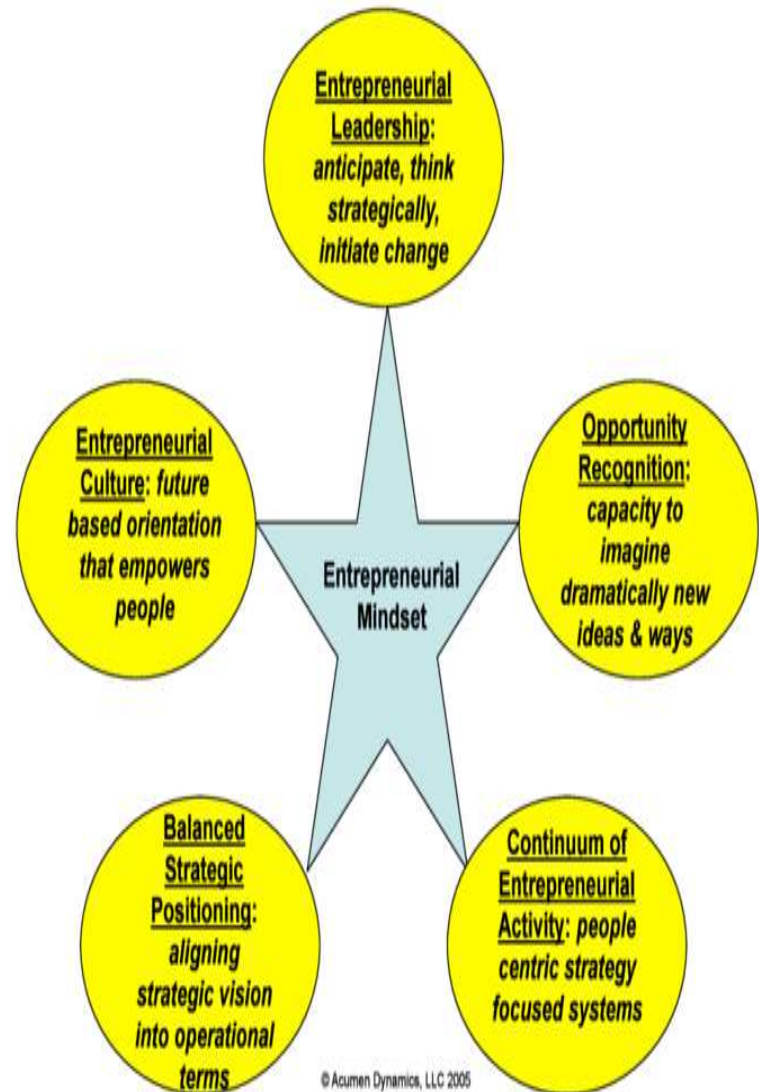
Meaning	Sources
Five characteristics of the entrepreneurial mindset in common with habitual entrepreneurs 1. They passionately seek new opportunities. 2. They pursue opportunities with enormous discipline. 3. They pursue only the very best opportunities and avoid exhausting themselves and their organizations by chasing after every option. 4. They focus on execution—specifically, adaptive execution. 5. They engage the energies of everyone in their domain.	McGrath, R.G. and I. MacMillan. 2000. The Entrepreneurial Mindset. Harvard Business School Press.

THE ENTREPRENEURIAL MINDSET

Meaning	Sources
The ability to quickly sense, take action, and get organized under certain conditions.	Blundel, R., Lockett, N., & Wang, C. (2017). Exploring entrepreneurship. Sage.
This refers to a specific state of mind that orientates human conduct toward seeking opportunities, taking risks to realize those opportunities and have the tenacity to push an idea through to make it a reality.	Gandhi, S. J., & Sharma, N. (2016). Innovation and entrepreneurship. 2nd edition; engineering management handbook, 2nd edition, huntsville (2nd edition ed., pp. 379-392). Huntsville: American Society for Engineering Management (ASEM). Retrieved from https://search.proquest.com/docview/2173845017?accountid=31259
This refers to the awareness and focus on identifying an opportunity through solving a problem, and a willingness to move forward to advance that idea	Laverty M. & Little C. (2020). Entrepreneurship. OpenStax, Rice University. Retrieved from https://openstax.org/details/books/entrepreneurship .”



This state of mind needs to be practiced constantly in order to become a habit. A person having entrepreneurial mindset is drawn to opportunities, innovation and new value creation. This mindset is crucial in initiating and furthering a business venture.



Unpacking

